

25LBCV02222 25LBCV02222

County: los-angeles

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Complaint

Plaintiff, CS OPP XI, LLC filed this action against Defendant, Agile Occupational Medicine, LLC for breach of contract, breach of the implied covenant of good faith and fair dealing, and common counts. Plaintiff filed the complaint on 8/06/25.

The complaint arises out of the parties' agreement concerning a commercial property in Long Beach.

Plaintiff alleges that Defendant reached out to Plaintiff, asked Plaintiff to purchase the property, and agreed to rent the property from Plaintiff. The property had previously been used as a dry cleaning business, but Defendant was going to convert it and use it as a medical facility.

The parties entered into a lease with a term of ten years and five months, but within the first year, Defendant failed to secure permits necessary to convert the property; also within the first year, Defendant fell behind on the property rent. Defendant indicated it was having trouble securing financing from its promised private equity backer, and a little over a year after the parties entered into the lease, Plaintiff served Defendant with a Notice of Default.

A few months later, the parties entered into an amended lease agreement. Defendant immediately failed to comply with the requirements of the amended lease agreement, and about four months later started inquiring about the possibility of buying out the lease obligations. Plaintiff made offers, but

Defendant did not accept them. Instead, Defendant indicated it would go forward with construction on the property. In June of 2025, approximately three years after the parties originally entered into their original lease agreement, Defendant failed to make the required lease payment and has not made any subsequent payment.

Cross-Complaint

On 9/19/25, Defendant filed a cross-complaint against Plaintiff and Rodney Matthew Bear. The cross-complaint includes causes of action for breach of the implied covenant of good faith and fair dealing, fraud in the inducement, negligent misrepresentation, fraudulent concealment, unfair competition, rescission, and aiding and abetting breaches of fiduciary duty. The crux of the cross-complaint is that CS failed to disclose the fact that the facility had been previously used as a dry cleaning business, and Agile did not learn of the contamination until it had already expended a great deal of money to renovate the building. Bear is alleged to have been a principal of CS and is the individual who allegedly made the subject misrepresentations and concealed the relevant facts.

On 12/09/25, Agile filed Roe Amendments naming Robert Hunter as Roe 1 and Douglas Elliman of California, Inc. as Roe 2.

Application for Right to Attach Order

On 4/09/26, the Court heard and granted Plaintiff's application for an attachment order in its favor and against Defendant in the amount of \$168,120.97, which amount included unpaid rent and common area maintenance charges.

The moving papers were filed on 11/25/25. At that time, there was \$166,352.86 due and owing under the parties' lease.

Plaintiff ultimately sold the property on 1/08/26, and the amount due and owing had increased from \$166,352.86 to \$239,102.86 in the interim. Plaintiff therefore filed a supplemental declaration on 4/01/26 seeking to have the amount attached increased to \$239,102.86.

The Court, at the 4/09/26 hearing, found it could not increase the amount to be attached by way of reply papers, and therefore denied the request to attach the difference. The Court

expressly did so without prejudice to Plaintiff's right to seek to attach the difference by way of a separate application.

On 5/11/26, Plaintiff filed a separate application to attach the remaining \$72,750.00. Defendant argues the motion should be denied because (a) it is an improper motion for reconsideration, (b) the prior arguments are incorporated by reference, and (c) the bond should be increased if the motion is granted.

The Court finds this is not an improper motion for reconsideration. Even if the motion were considered to be one for reconsideration, there are clearly new or different facts – the fact that past-due rent increased between the time the prior motion was filed and the time of the filing of the second motion.

The Court incorporates its prior analysis re: the merits of the motion by reference, and finds an additional bond is proper and necessary for the reasons set forth in the 4/09/26 order.

Defendant asks that the Court increase the amount of the bond to an amount appropriate to protect it from the enlarged exposure of granting the motion. Defendant does not specify what increase it seeks. The Court will increase the amount of the bond from \$10,000 to \$20,000.

Demurrer

a. Parties' Positions

The Roe Cross-Defendants demur to the cross-complaint, correctly noting that the allegations against them are entirely cursory in nature. See, for example, ¶4, alleging all roe cross-defendants are "responsible" for the events at issue.

In opposition to the demurrer, Agile sets forth a litany of facts it contends support claims against Hunter and Douglas Elliman, and Agile argues the claims against them should not be dismissed.

b. Standard on Demurrer

A demurrer is a pleading used to

test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading. It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purpose of the ruling on the demurrer, all facts pleaded in the complaint are assumed to be true, however improbable they may be.

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. *Blank v. Kirwan* 39 Cal.3d 311 (1985). No other extrinsic evidence can be considered (i.e., no "speaking demurrers"). A demurrer is brought under CCP § 430.10 [grounds], § 430.30 [as to any matter on its face or from which judicial notice may be taken], and § 430.50(a) [can be taken to the entire complaint or any cause of action within]. Specifically, a demurrer may be brought per CCP § 430.10(e) if insufficient facts are stated to support the cause of action asserted. Per CCP §430.10(a) a demurrer may be brought where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. Furthermore, demurrer for uncertainty will be sustained only where the complaint is so bad that the defendant cannot reasonably respond. CCP § 430.10(f).

However, in construing the allegations, the court is to give effect to specific factual allegations that may modify or limit inconsistent general or conclusory allegations. *Financial Corporation of America v. Wilburn*, 189 Cal.App.3rd 764, 769 (1987). And, if the facts pled in the complaint are inconsistent with facts which are incorporated by reference from exhibits attached to the complaint, the facts in the incorporated exhibits control. Further, irrespective of the name or label given to a cause of action by the plaintiff, a general demurrer must be overruled if the facts as pled in the body of the complaint state some valid claim for relief. Special demurrers are not allowed in limited jurisdiction courts. (CCP § 92(c).)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. *Goodman v. Kennedy*, 18 Cal.3d 335, 348 (1976). The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

Finally, CCP section 430.41

requires that “[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (CCP §430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (CCP §430.41(a)(2).) Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (CCP §430.41(a)(3).)

c. Meet
and Confer

Cross-Defendants’ attorney declares the parties met and conferred by telephone but were unable to resolve their differences. The meet and confer requirement is therefore satisfied.

d. Analysis

The demurrer must be sustained with leave to amend. None of the facts in the opposition are pled anywhere in the cross-complaint. Cursory allegations that the Roes were “responsible” for the events are insufficient to state any claim at all, and are particularly insufficient to state the fraud-based claims, which require specificity. See *Tarmann v. State Farm Mut. Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.

The Court notes that the parties disagree considering whether the fact that certain provisions re: broker compensation in the subject lease agreement negate the claims against the demurring defendants as a matter of law. The Court defers ruling on this issue until after an amended pleading is filed.

Again, as there are no substantive allegations pled against the demurring defendants, it is difficult to determine, from the pleading alone, what their role was in the subject transactions. Agile must so explain by way of the amended cross-complaint, and the Court will determine, if that pleading is challenged, whether the crossed-out provisions operate to bar the claims or not.

The demurrer to the cross-complaint is sustained in its entirety with leave to amend. Cross-Complainant must file a First Amended Cross-Complaint within twenty days, and it must include allegations sufficient to allege Hunter and Douglas Elliman’s culpability for

each cause of action pled against them.

Cross-Defendants must file a responsive pleading within the statutory time thereafter. If Cross-Defendants intend to challenge the pleading, the parties must meet and confer in good faith in an attempt to resolve the issues without the need for a hearing.

Motion to Strike

The motion to strike is moot in light of the ruling on the demurrer.

Case Management Conference

The parties are reminded that there is a CMC on calendar concurrently with the hearing on the above application, demurrer, and motion. The Court asks the parties to make arrangements to appear remotely at the hearing.